

Class 12 Business Studies

Chapter 2: Principles of Management

1. Meaning of Principles of Management

Principles of Management are broad and general guidelines which help managers in decision-making and managing organisational activities.

Nature of Principles of Management:

- Universal applicability – can be applied in different organisations, though application may vary.
- General guidelines – guide managers rather than provide rigid solutions.
- Formed by practice and experimentation – developed through experience and systematic study.
- Flexible – principles can be modified according to the situation.
- Mainly behavioural – influence human behaviour and relationships at work.
- Cause-and-effect relationship – indicate the likely result of applying a principle.
- Contingent – application depends on the situation.

2. Importance of Principles of Management

1. **Providing managers with useful insights:** Principles help managers understand situations and make better decisions.
2. **Optimum utilisation of resources and effective administration:** They reduce wastage and help managers use resources efficiently.
3. **Meeting changing environment:** They help managers adapt to changes in business conditions.
4. **Fulfilling social responsibility:** They encourage responsible use of resources and consideration of society.
5. **Management training, education and research:** They provide a foundation for teaching, training and further study of management.

3. Fayol's 14 Principles of Management

1. **Division of Work** – Work should be divided among individuals according to their abilities and specialisation to improve efficiency.
2. **Authority and Responsibility** – Authority is the right to give orders; responsibility is the obligation to perform assigned work. They should go together.
3. **Discipline** – Employees should respect rules and agreements of the organisation.
4. **Unity of Command** – An employee should receive orders from only one superior.
5. **Unity of Direction** – Activities having the same objective should have one head and one plan.
6. **Subordination of Individual Interest to General Interest** – Organisational interest should be given priority over individual interest.
7. **Remuneration of Employees** – Employees should receive fair and reasonable remuneration for their services.
8. **Centralisation and Decentralisation** – The degree of concentration of decision-making authority should be appropriate to the organisation.
9. **Scalar Chain** – There should be a clear formal line of authority from the highest to the lowest level.
10. **Order** – There should be a proper place for every person and everything.
11. **Equity** – Managers should treat employees with fairness, kindness and justice.
12. **Stability of Personnel** – Employees should be given reasonable job security and sufficient time to settle into their jobs.

13. Initiative – Employees should be encouraged to take initiative and contribute ideas.

14. Esprit de Corps – Management should promote team spirit, unity and harmony among employees.

4. Taylor's Scientific Management

Meaning: Scientific Management means applying scientific methods to management and work rather than relying on rule-of-thumb methods.

Main objective: To increase productivity and efficiency through scientific study of work.

Taylor is known as the **Father of Scientific Management**.

5. Taylor's Principles of Scientific Management

1. **Science, Not Rule of Thumb:** Replace traditional trial-and-error methods with scientific study and analysis.
2. **Harmony, Not Discord:** Management and workers should maintain mutual understanding and work towards common goals.
3. **Cooperation, Not Individualism:** Managers and workers should cooperate rather than work against each other.
4. **Development of Each and Every Person to His or Her Greatest Efficiency:** Employees should be scientifically selected, trained and developed.

6. Taylor's Techniques of Scientific Management

1. **Functional Foremanship:** Work is divided between planning and production functions, with specialised supervisors responsible for different activities.

- Planning in-charge: Route Clerk, Instruction Card Clerk, Time and Cost Clerk, Disciplinarian.
- Production in-charge: Gang Boss, Speed Boss, Repair Boss, Inspector.

2. **Standardisation and Simplification of Work:** Standardisation sets standards for size, quality, methods and conditions; simplification reduces unnecessary varieties of products, tools or processes.

3. **Method Study:** Identifies the best method of doing a particular job by analysing different methods.

4. **Motion Study:** Studies movements involved in doing a job and eliminates unnecessary movements.

5. **Time Study:** Determines the standard time required to complete a job under normal conditions.

6. **Fatigue Study:** Determines the amount and frequency of rest intervals needed to reduce worker fatigue.

7. **Differential Piece Wage System:** Workers who meet or exceed the standard output are paid at a higher rate, while those below the standard receive a lower rate.

7. Mental Revolution

Mental Revolution means a complete change in the attitude of both management and workers. Both sides should stop thinking mainly about dividing the surplus and instead cooperate to increase productivity and prosperity.

8. Taylor vs Fayol – Quick Difference

Basis	Taylor	Fayol
Focus	Shop-floor/production level	Overall administration and management
Approach	Bottom-to-top	Top-to-bottom
Main contribution	Scientific Management	14 Principles of Management
Applicability	Mainly industrial/work-level problems	Applicable to managers and organisations generally
Perspective	Efficiency of workers and work methods	Overall management and administration

9. Important One-Line Revision

- **Unity of Command:** One employee → one boss.

- **Unity of Direction:** One objective → one plan → one head.
- **Scalar Chain:** Formal line of authority from top to bottom.
- **Gang Plank:** Direct communication between employees at the same level may be used in exceptional circumstances to avoid delay, with proper permission.
- **Esprit de Corps:** Team spirit and harmony.
- **Equity:** Fair and just treatment of employees.
- **Initiative:** Encouraging employees to suggest and implement ideas.
- **Rule of Thumb:** Decisions based on traditional experience rather than scientific study.
- **Time Study:** Finds standard time.
- **Motion Study:** Finds unnecessary movements.
- **Method Study:** Finds the best method.
- **Fatigue Study:** Finds suitable rest intervals.
- **Differential Piece Wage:** Different wage rates based on performance against the standard.

Exam Tip: For case studies, identify the exact principle/technique from the situation and then write its meaning in 1–2 lines.